

Profit Niti – AI Report (2025-01-01 / 2025-12-31)

Last Month KPI Data (December 2025)

 Sales 0 0% Last month 0	 Gross Margin 0 0% Last month 0
 Operating Profit 0 0% Last month 0	 Break Even Sales 0 0% Last month 0
 Accounts Receivable 0 0% Last month 0	 Accounts Payable 0 0% Last month 0
 Working Capital 0 0% Last month 0	 Closing Stock 0 0% Last month 0
 Bs Category 0 - SHAKY 0% Last month 0 - SHAKY	 Impact Of Decisions 0 0% Last month 0

1. Big Picture — How the Business Looks Right Now

The business is in a state of severe financial distress. For the full year FY 2024-25, the company reported a massive loss of over ₹205 crore, which has completely eroded its equity, leaving it with a negative net worth of ₹32.6 crore. The core issue is that the cost of goods sold (COGS) is consistently and significantly higher than sales revenue, leading to deeply negative gross margins. While there is a high volume of sales activity, the company is losing money on every unit it sells. The balance sheet is being propped up by substantial borrowings and other current liabilities.

GREEN FLAG BOX — What's Working Well

- **Strong Sales Volume & Recovery:** Sales for Q4 FY25 were robust at ₹371.5 crore, and the company maintains a high volume of customer invoices, indicating active market presence and distribution.
- **Improving Receivable Collection:** Accounts Receivable Days improved significantly to 6.86 days in March 2025, showing excellent efficiency in collecting money from customers.
- **Reducing Long-term Debt:** The company has been actively repaying its secured long-term borrowings, which decreased from ₹38.3 crore in January to ₹26.6 crore in April, lowering future interest burden.

RED FLAG BOX — What Needs Attention

- **Critical Profitability Crisis:** The business model is fundamentally broken, with COGS exceeding sales. The gross margin was negative 88% in January and is still a disastrous negative 61% in April.
- **Negative Net Worth & Insolvency Risk:** Total equity is deeply negative (₹ -40.8 crore), meaning liabilities far exceed assets. This is a serious solvency issue that threatens the company's ability to continue operations.
- **Severe Cash Burn from Operations:** Core operations are burning massive amounts of cash. Cash flow from operating activity was negative ₹113 crore in April alone, depleting vital reserves.

Strategic Advice:

Immediate survival demands a complete focus on gross margin. You must urgently renegotiate raw material purchase costs with suppliers, increase selling prices, or halt unprofitable product lines. Concurrently, engage with lenders to restructure debt and explore emergency equity infusion to address the negative net worth. Continuing as-is will lead to complete cash exhaustion.